

The complexity of products, their features and the fine print in policies is so large that it is impossible for an average person to know enough to buy a policy. Most personal finance advice on this usually begins with: ‘Research the company, its management, its hospital reach, its third-party agent (TPA) service (TPAs are firms that insurance companies outsource claims management to), its claims experience before you buy a policy.’

You need to know that some policies will not pay the full amount because you signed up for something called ‘co-pay’. Not exactly helpful! Few articles will tell you that you need to know that some policies have in-built limits to what you can spend on what part of a hospital’s service. You need to know how good the claims experience of the company is. You need to know if the TPA service is good or not. If the hospital network is large or not.

Look, it is not humanly possible to do all that and then do your day job and cook the evening meal. The problem is deep and wide, which is why *Mint* initiated India’s most comprehensive medical insurance ratings – Mint SecureNow Mediclaim Ratings. *Mint* has tied up with SecureNow Insurance Brokers Pvt. Ltd to develop the methodology and then do the ratings. Look it up on the Livemint site.

As you look at the ratings online, the most important thing to know is that the cheapest policy is not necessarily a good plan. Agreed that a low premium is good and an important factor in your choice of a policy, but it is not the only factor. Look at the policy as a three-part decision.

One, how does it perform on the metric of price. Two, how does it perform on the metric of benefits. Three, how does it perform on the metric of claims. You may have the cheapest policy with the best benefits, but if the company’s claims policy rejects a large number of claims, the policy is not of much use.

Let’s unpack this a bit. It gets a bit technical, so stay with me. Don’t go away. It is important that you spend time now rather than crib later.

Price

It is important to know what the policy costs right now and in the future. Unlike a life cover, where your premium gets locked when you buy a term cover,